

Subject Code	AF5312
Subject Title	Principles of Corporate Finance
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: None Exclusion: Financial Management (AF5318) Managerial Finance (AF5326) Finance for Executives (AF5327) Corporate Financial Management (AF5331)
Objectives	This course introduces students to foundational knowledge and techniques in corporate finance, as well as more specialized aspects of the field on which other subjects can be built. The course will help students identify real-life corporate finance issues and explain related observations or phenomena using sound financial theories and concepts. Students will also be able to apply up-to-date corporate finance principles and evaluate their impact on corporate policies and strategies.
Intended Learning Outcomes	Upon successful completion of this course, students should be able to: - Understand the major tasks of corporate finance. - Understand the role of financial markets and interest rates in corporate financing, and how they should be incorporated into corporate financing decisions. - Understand the importance of the time value of money and its relevance to corporate financial decisions, and be able to apply the knowledge acquired in the course to solve similar capital budgeting problems in real-world situations. - Understand the return-risk relation and the CAPM. - Understand issues related to cost of capital, capital structure, and different methods of equity and debt financing.
Subject Synopsis/ Indicative Syllabus	Key Concepts of Corporate Finance Corporate finance and the financial manager; goals of corporate management; agency problem, corporate governance and control of the corporation; firm value expressed as contingency claims; time value of money and present value. Valuation and Capital Budgeting Evaluation of capital investment decisions using the net present value rule; alternative rules for capital budgeting; Risk and return; the CAPM. Market Efficiency and Behavioral Finance The efficient market hypothesis; behavioral finance; financial crises.

	Capital Structure Financial leverage and firm value; implications of Modigliani and Miller propositions; capital structure and cost of capital; optimal capital structure; limits to the use of debt; valuation and capital budgeting for the levered firm. Dividends and Other Payout Types of dividends; dividend policies; factors affecting dividend payout policy. Long-term Equity and Debt Financing Public issue; alternative issue methods; cash offer; announcement of new equity and the value of the firm; cost of new issues; rights; the new-issue puzzle; types of bonds; public issue of bonds; bond refunding; bond rating; private placement of securities.																																																												
Teaching/Learning Methodology	The subject is structured around lectures/seminars, supplemented by exercises both in and outside of class. Participants are urged to prepare thoroughly for each class and to proactively interact with both the instructor and other students. Students should read all relevant chapters multiple times and attempt the practice questions at the end of each chapter.																																																												
Assessment Methods in Alignment with Intended Learning Outcomes	<table border="1"> <thead> <tr> <th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr> <tr> <th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th></th></tr> </thead> <tbody> <tr> <td>1. Class participation</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr> <tr> <td>2. Group project</td><td>15%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr> <tr> <td>3. Midterm test</td><td>25%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr> <tr> <td>4. Final examination</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr> <tr> <td>Total</td><td>100 %</td><td colspan="6"></td></tr> </tbody> </table> Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.							Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d	e		1. Class participation	10%	✓	✓	✓	✓	✓		2. Group project	15%	✓	✓	✓	✓	✓		3. Midterm test	25%	✓	✓	✓	✓	✓		4. Final examination	50%	✓	✓	✓	✓	✓		Total	100 %						
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Student Study Effort Expected	Class contact:																																																												
	▪ Lectures / Seminars					39Hrs.																																																							
	Other student study efforts:																																																												

	▪ On average, students are expected to spend about 52 hours studying and doing exercise questions after class.	52 Hrs.
	▪ On average, students are expected to spend 23 hours completing assignments or projects.	23 Hrs.
	Total student study effort:	114 Hrs.
Reading List and References	<u>Textbook</u> Ross, Stephen; Westerfield, Randolph; Jaffe, Jeffrey; Jordan, Bradford; Shue, Kelly. Corporate Finance (Evergreen Release, 2025 Release). McGraw-Hill. <u>Reference</u> Ross, Stephen A., Randolph W. Westerfield, and Bradford D. Jordan. Fundamentals of Corporate Finance, Evergreen Release (2024 Release). McGraw-Hill. Brealey, Richard; Myers, Stewart; Allen, Franklin; and Edmans, Alex. Principles of Corporate Finance, Evergreen Release (2025 Release). McGraw-Hill. Selected articles from the <i>Journal of Applied Corporate Finance</i> and the <i>Annual Review of Financial Economics</i>.	